

15. BREACH OF CONTRACT

INTRODUCTION TO THE LEGAL SYSTEM – MODULE I

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BREACH OF CONTRACT



- **Anticipatory breach of contract:** A party declares its intention of not performing the contract **before the performance is accrued due**
- **Actual breach of contract:** It occurs on due date of performance or during the course of performance

REMEDIES

- Protection of contractual expectations is the primary aim of law of contract. These expectations are met when each party performs its respective promise. If any of them fails and breaks the contract, instead, the promisee is entitled with a set of **remedies**

A remedy is a court order that seeks to uphold someone's right or to redress another's illegal action

When one of the parties breaks a contract, the other can ask a court to provide a remedy for the breach

REMEDIES

1. **Specific performance**: if a party does not perform, it can be forced to do so by a court of law
2. **Termination of contract**: the non-breaching party may ask for the dissolution of the contract, refuse to perform its part of performance or claim the restitution of what it has already paid
3. **Damages**: monetary reward capable of bringing the aggrieved party in the same utility position in which it would have been, had the contract been properly performed
 - It can be autonomous or coupled with actions for performance/termination



REMEDIES



The availability of remedies for breach of contract depends on the role that a legal system assigns to contract law

Moral approach to contract law: promises must be fulfilled (*pacta sunt servanda*). In case of non-performance, the legal system firstly imposes the fulfilment of the debtor's duty as a remedy

Economic approach to contract law: people conclude contracts to increase their welfare. Instead of performing, the debtor may prefer to bring the other party to the financial position which it would have had if the contract had been properly performed

REMEDIES



Civil law approach:

Specific performance is a general remedy.
Only exceptionally, this remedy is barred



Common law approach:

The general remedy is compensation of damages (monetary reward), specific performance being exceptional

CIVIL LAW APPROACH



- non-performance
- defective performance
- delay in performance

Each party holds
an enforceable right
to claim performance
from the counterparty

CIVIL LAW APPROACH



Specific performance is a general remedy for breach of contract



If a party does not abide by the court decision to perform, an official has the power to seize the good owed and deliver it to the other party

CIVIL LAW APPROACH

Exceptions to the availability of specific performance as a remedy:

1. Impossibility to perform (whether or not due to the debtor's fault);
2. Disproportionate costs: Performance is still possible but would cause the debtor unreasonable effort or expense;
3. Contracts involving personal services: (e.g., painting a portrait). Not only specific performance would potentially contravene the debtor's personal freedom, but, if forced, the debtor would possibly perform not at the best of its abilities.



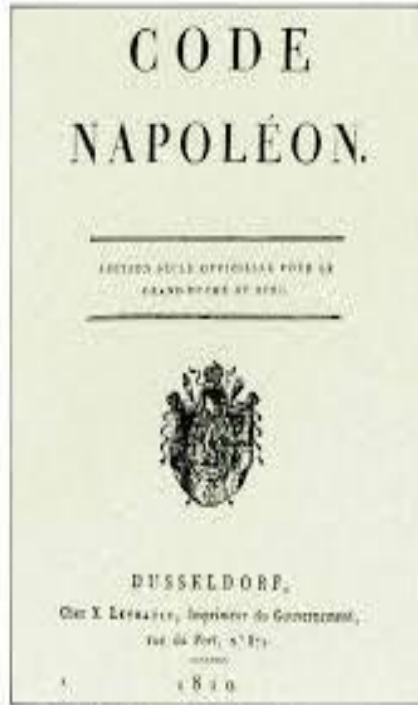
CIVIL LAW APPROACH



§ 241 Duties entailed in an obligation

- (1) In order to enforce an obligation, the creditor is entitled to claim for the performance from the debtor. The performance may consist in forbearance.

CIVIL LAW APPROACH



Art. 1221 (as amended in 2016)

A creditor of an obligation may, having given notice to perform, seek performance in kind **unless performance is impossible or if there is a manifest disproportion between its cost to the debtor and its interest for the creditor.**

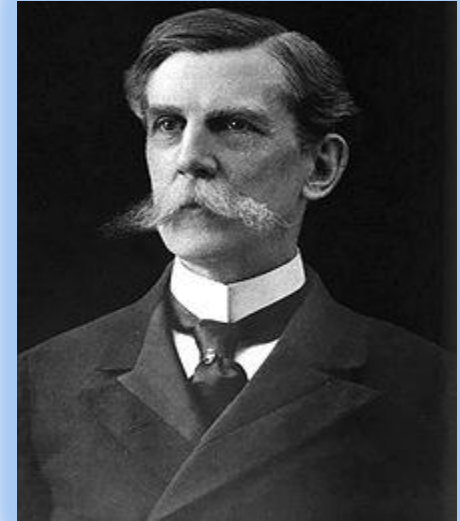
COMMON LAW APPROACH

«The only universal consequence of a legally binding promise is that the law makes the promisor pay damages if the promised act does not come to pass. In every case it leaves him free to break his contract if he chooses»

Justice Oliver Wendell Holmes jr. - 1881



Efficient breach of contract: a party should be allowed to break the contract signed and pay damages, if that would be economically more efficient than performing the contract itself



COMMON LAW APPROACH

No specific performance in cases of sale of generic goods (easily replaceable at standard prices on the market)



*Société des Industries Métallurgiques
vs Bronx Engineering Ltd (1975)*

Seller of a machine wrongly refused to deliver it.
The court denied the buyer specific performance,
even though a substitute machine could be obtained
only after 9-12 month delay



COMMON LAW APPROACH

Inability of money, awarded as damages, to buy a duplicate or substantial equivalent of the performance promised by the party in breach

A contracts to sell to B 1000 bushels of wheat at a price of 4 Euro per bushel.

On the date set for delivery, A repudiates. Assuming that there exists an established market where B can purchase wheat of a similar nature and quality, money damages representing B's expectation will be adequate to full and complete justice

No specific performance

A contracts to sell to B the "Wheatfield with Crows" by Van Gogh for 800.000 Euros. If A breaches the contract, a suit for specific performance by B should be successful as B's damages remedy is clearly inadequate. B's expectation was to obtain the specific painting.

Specific performance



COMMON LAW APPROACH

No «performance» as a general remedy

BUT

It is acknowledged that specific performance
Is available when damages are “inadequate”



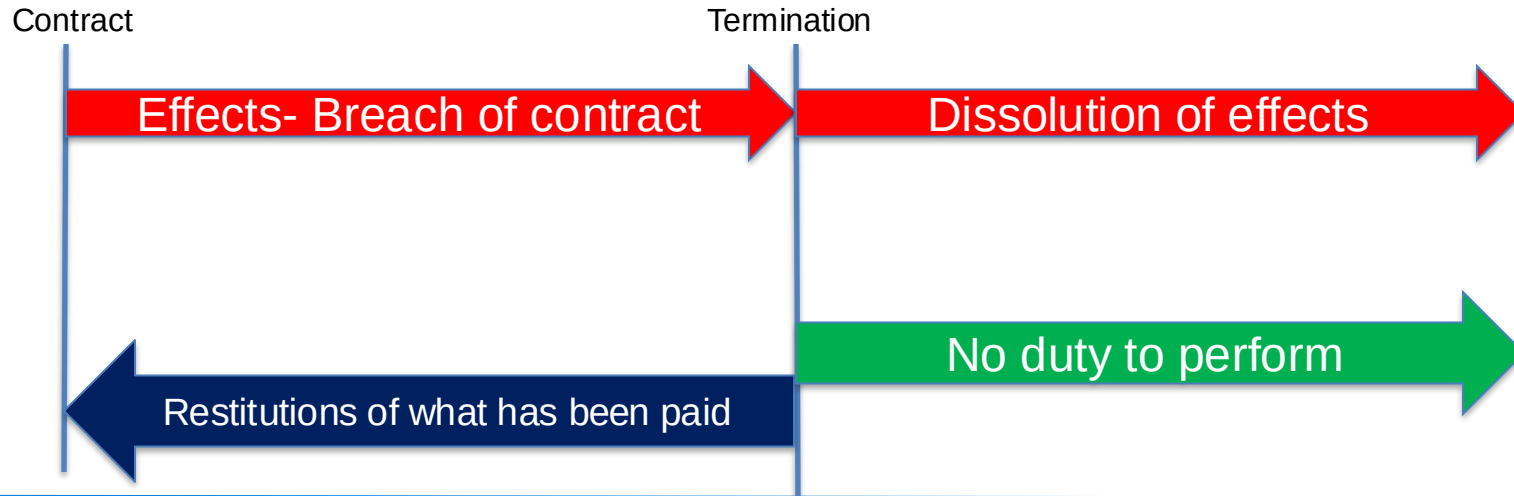
Van Gogh, Wheatfield with Crows (1890)



In particular, in case of contracts concerning specific goods
(such as land, works of art, or other objects having unique qualities), courts
allow the creditor to force the other party to perform *in specie* (in kind)

TERMINATION

If a party claims performance and/or damages, it still has to perform its own obligations. However, the innocent party may be instead willing to terminate the contract: if this remedy is allowed by the law, no performance is due by either party and, in case performance already happened, it shall be given back by the recipient



CIVIL LAW APPROACH

Termination of contract is allowed, when its breach is **material**

A owes B two tons of wheat,
with delivery due on October
10, 2016.

On that date, A delivers 1,999
tons.



A baker is paid for a cake to be
prepared for a wedding party
(on October 10)
He delivers the cake late (1
day)

Breach of contract may lead to termination if it is **fundamental**

FUNDAMENTAL BREACH OF CONTRACT

A minor failure to carry out “exact” performance, i.e. a non-performance of minor importance, exposes the party in breach to liability for damages, but will not entitle the innocent party to seek dissolution of the contract for non-performance.

E.g. Art. 8:103 PECL:

*“A non-performance of an obligation is **fundamental** to the contract if:*

- strict compliance with the obligation is of the essence of the contract;*
- the non-performance substantially deprives the aggrieved party of what it was entitled to expect under the contract, unless the other party did not foresee and could not reasonably have foreseen that result;*
- the non-performance is intentional and gives the aggrieved party reason to believe that it cannot rely on the other party’s future performance”*



COMMON LAW APPROACH

CONTRACT TERMS

CONDITIONS

Major terms of the contract: if breached, the innocent party is entitled to terminate the contract (and to claim damages as well).

WARRANTIES

Minor terms of the contract: if breached, the innocent party is entitled (to claim damages, but) not to terminate the contract.

INNOMINATE (INTERMEDIATE) TERMS

The test is not whether it is dealt with major or minor terms. Instead, if the effect of their violation is to deprive the other party of the whole benefit of the contract, then termination is allowed; otherwise, solely damages

INTERMEDIATE TERMS



The ship 'Hong Kong Fir' was hired out under a two-year time charter-party to Kawasaki Kisen Kaisha, in order to sail from Liverpool to Osaka through Virginia and Panama. A term in the charterparty agreement required the ship to be seaworthy and to be «*in every way fitted for ordinary cargo service*». However, the crew were both insufficient in number and incompetent to maintain her old-fashioned machinery; and the chief engineer was a drunkard. On the voyage, the engines suffered several breakdowns and fifteen weeks of repairs were needed before the ship was seaworthy again. By this time, barely seventeen months of the two-year time-charter remained.

Hong Kong Fir Shipping v Kawasaki Kisen Kaisha

[1962] 2 QB 26

INTERMEDIATE TERMS



As the charterers still get to have the boat for 20 more months, the expected benefits can still be received. Therefore, this breach does not lead to termination, but only to damages.

Lord Diplock

Hong Kong Fir Shipping v Kawasaki Kisen Kaisha

[1962] 2 QB 26

AGREED RIGHTS OF TERMINATION

Termination may occur irrespectively of a fundamental breach in specific circumstances, connected to a specific agreement of the parties

1. **Explicit dissolution clause:** the contracting parties can explicitly agree that the contract will be dissolved if a specified obligation is not performed in the designated way. This clause allows contractual parties to attribute fundamental importance (in terms of the dissolution of the contract) to an obligation, the non-performance would otherwise be of “slight importance”
2. **Time essential for one of the parties:** the contract is dissolved if the time fixed for performance has been contractually designated as essential in the interest of the other

